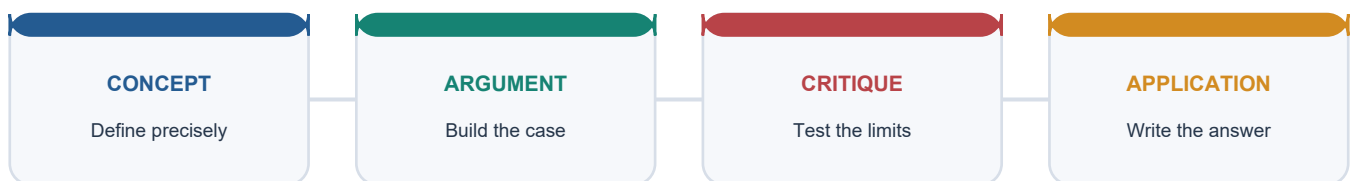


## COMPLETE LEARNING SESSION

# MSP, Procurement, Buffer Stocks, PDS and Food Security - Complete Learning Session

Economy | UPSC Prelims and GS-III

### LEARNING PATH



*Deterministic fallback visual: move from precise concepts through argument and critique to exam application.*

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

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Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

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# MSP, Procurement, Buffer Stocks, PDS and Food Security - Complete Learning Session

## SOURCE, STATUS AND DATE CONTROL

- **Current-source cutoff:** 9 September 2026.
- **Source order:** canonical Economy Basic/Core and Optional Advanced Markdown; OCR-searchable Ramesh Singh and *Economic Survey 2025-26*; official CACP/Agriculture Ministry, CCEA/PIB, DFPD, FCI, NFSA and WTO sources.
- **Variable-value rule:** MSP rupee rates, actual stocks, allocations, offtake, auction quantities and scheme coverage are quoted only with a specific official date. This package does not freeze a full seasonal price or stock table.
- **Institution rule:** CACP recommendation, CCEA decision, agency procurement, central-pool accounting, NFSA allocation and household delivery remain separate.
- **Syllabus boundary:** APMC, e-NAM, FPOs and general supply-chain regulation belong to Topic 13; detailed WTO subsidy architecture belongs to Topic 28.

## OFFICIAL LINKS CHECKED

- Agriculture Ministry Kharif 2026-27 MSP table:  
[https://agriwelfare.gov.in/Documents/HomeWhatsNew/Kharif\\_2026\\_27\\_En.pdf](https://agriwelfare.gov.in/Documents/HomeWhatsNew/Kharif_2026_27_En.pdf)
- PIB Rabi Marketing Season 2026-27 CCEA release:  
<https://pib.gov.in/PressReleasePage.aspx?PRID=2173567>
- PIB Kharif Marketing Season 2026-27 CCEA release:  
<https://pib.gov.in/PressReleasePage.aspx?PRID=2260618>
- FCI Annual Report 2024-25:  
<https://fci.gov.in/fci-storage/storage/app/uploads/693a5c5db48ed1765432413.pdf>
- DFPD NFSA and PMGKAY portals: <https://dfpd.gov.in/>
- PIB free-foodgrain five-year decision: <https://pib.gov.in/PressReleaseIframePage.aspx?PRID=1980686>
- PIB fortified-rice continuation: <https://pib.gov.in/PressReleasePage.aspx?PRID=2063447>
- WTO public-stockholding fact sheet:  
[https://www.wto.org/english/tratop\\_e/agric\\_e/factsheet\\_agng\\_e.htm](https://www.wto.org/english/tratop_e/agric_e/factsheet_agng_e.htm)

## LEARNING CONTRACT

| Control          | Binding rule                                                                               |
|------------------|--------------------------------------------------------------------------------------------|
| Visual-first     | Every Core session begins with a flow, formula or comparison.                              |
| Answer paragraph | Claim -> named evidence -> analysis -> qualification.                                      |
| Current values   | Crop, season, unit and date are mandatory for any rupee MSP or stock figure.               |
| Rights           | NFSA entitlement, executive free-price decision and physical delivery remain distinct.     |
| WTO              | Domestic budget cost is never substituted for Agreement on Agriculture support accounting. |

## BASIC LEARNING SESSION

## ORIGIN AND TIMELINE

| Date                         | Development                                                                   | Exam use                                                      |
|------------------------------|-------------------------------------------------------------------------------|---------------------------------------------------------------|
| 1964 / 1965                  | Food Corporations Act / FCI operations and Agricultural Prices Commission era | Institutional foundation of procurement and price policy      |
| 1997                         | Targeted Public Distribution System                                           | Shift toward household targeting                              |
| 2003                         | Decentralised Procurement Scheme expanded State role                          | Federal procurement-distribution route                        |
| 2013                         | National Food Security Act and WTO Bali public-stockholding decision          | Rights architecture and multilateral constraint               |
| January 2015                 | Current quarterly rice-wheat buffer norms approved                            | Norm is distinct from actual stock                            |
| 2018-19                      | MSP policy of at least 1.5 times all-India weighted average A2+FL cost        | Exact denominator matters                                     |
| 1 January 2024-December 2028 | Free NFSA foodgrain under the approved five-year PMGKAY arrangement           | Current price status, not permanent statutory quantity change |
| July 2024-December 2028      | Approved continuation of fortified rice in welfare schemes                    | Nutrition instrument with dated end point                     |

## CURRENT OFFICIAL DASHBOARD

| Item            | Dated official status                                                                            | Qualification                                                    |
|-----------------|--------------------------------------------------------------------------------------------------|------------------------------------------------------------------|
| RMS MSP         | 2026-27 MSPs approved by CCEA on <b>1 October 2025</b>                                           | Use crop/variety rates only from that release                    |
| KMS MSP         | 2026-27 MSPs approved by CCEA on <b>13 May 2026</b>                                              | This package does not freeze the full variable table             |
| MSP formula     | At least <b>1.5 x all-India weighted average A2+FL</b>                                           | Not C2+50; not farm-specific profit                              |
| NFSA free price | Free entitlement for about <b>81.35 crore</b> beneficiaries, <b>1 January 2024-December 2028</b> | Executive price arrangement; statutory quantities unchanged      |
| ONORC           | DFPD Year End Review 2025 reported all <b>36 States/UTs</b> onboard                              | Portability still depends on identification and delivery systems |
| Fortified rice  | Continued <b>July 2024-December 2028</b>                                                         | Complements, not replaces, dietary diversity                     |

## QUARTERLY CENTRAL-POOL BUFFER NORMS

| Date      | Wheat MMT | Rice MMT | Total MMT |
|-----------|-----------|----------|-----------|
| 1 April   | 7.46      | 13.58    | 21.04     |
| 1 July    | 27.58     | 13.54    | 41.12     |
| 1 October | 20.52     | 10.25    | 30.77     |
| 1 January | 13.80     | 7.61     | 21.41     |

*Status:* norms approved in January 2015 and still cited in official material checked on 9 September 2026. They are minimum norms, not actual-stock figures.

## CORE SESSION 1 - Food-policy chain

### VISUAL FIRST

MSP SIGNAL -> PROCUREMENT -> CENTRAL POOL -> STORAGE / MOVEMENT  
-> NFSA / OMSS -> FARMER, CONSUMER, PRICE

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

### DEFINITION

Food management is the linked system through which price signals, physical purchase, public stocks and household or market releases pursue farm and consumer objectives.

**ANSWER-GRABBING LINE:** Food policy must separate price announcement, actual purchase, stockholding and entitlement before judging success.

**MUST-WRITE KEYWORDS:** food-policy, chain, food, policy, must, separate, price.

### HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Food policy must separate price announcement, actual purchase, stockholding and entitlement before judging success.
- **Named evidence:** The Indian system uses CACP recommendations, Cabinet decisions, designated procurement agencies, FCI or State stocks and NFSA distribution.
- **Analysis:** Each stage changes the instrument's beneficiaries and fiscal or logistical consequences.
- **Qualification / demand link:** A strong price signal can remain ineffective where procurement access is absent, while large stocks can be wasteful without timely release.

### EVIDENCE AND INFERENCE

- **Fact/evidence:** The Indian system uses CACP recommendations, Cabinet decisions, designated procurement agencies, FCI or State stocks and NFSA distribution.
- **Analytical inference:** Each stage changes the instrument's beneficiaries and fiscal or logistical consequences.
- **Qualification:** A strong price signal can remain ineffective where procurement access is absent, while large stocks can be wasteful without timely release.

### PRELIMS TRAP

MSP, procurement, buffer stock and PDS are connected but not interchangeable.

### MAINS USE

Use the full chain as the introduction to any food-management answer.

### MINI RECAP

- Definition: Food management is the linked system through which price signals, physical purchase, public stocks and household or market releases pursue farm and consumer objectives.
- Evidence anchor: The Indian system uses CACP recommendations, Cabinet decisions, designated procurement agencies, FCI or State stocks and NFSA distribution.
- Limitation: A strong price signal can remain ineffective where procurement access is absent, while large stocks can be wasteful without timely release.

## CORE SESSION 2 - MSP purpose and limits

## VISUAL FIRST

EXPECTED MARKET PRICE

falls below MSP

farmer may seek designated procurement, where operational

MSP != automatic income floor

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

Minimum Support Price is an administered pre-season price announced for specified crops to signal a floor and reduce downside price risk.

**ANSWER-GRABBING LINE:** MSP is a policy signal and support instrument, not a self-executing universal purchase or income guarantee.

**MUST-WRITE KEYWORDS:** msp, purpose, and, limits, is, a, policy, signal.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** MSP is a policy signal and support instrument, not a self-executing universal purchase or income guarantee.
- **Named evidence:** Government states that MSP aims to encourage production, protect producers from sharp price falls and support food-security objectives.
- **Analysis:** The announcement can influence sowing expectations even beyond procured quantities, but credibility depends on market and agency presence.
- **Qualification / demand link:** Quality, season, crop, location and procurement operations condition realised support.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** Government states that MSP aims to encourage production, protect producers from sharp price falls and support food-security objectives.
- **Analytical inference:** The announcement can influence sowing expectations even beyond procured quantities, but credibility depends on market and agency presence.
- **Qualification:** Quality, season, crop, location and procurement operations condition realised support.

## PRELIMS TRAP

An announced MSP does not prove that every farmer sold at that price.

## MAINS USE

Define MSP, then immediately state the procurement qualification.

## MINI RECAP

- Definition: Minimum Support Price is an administered pre-season price announced for specified crops to signal a floor and reduce downside price risk.
- Evidence anchor: Government states that MSP aims to encourage production, protect producers from sharp price falls and support food-security objectives.
- Limitation: Quality, season, crop, location and procurement operations condition realised support.

## CORE SESSION 3 - CACP's advisory role



## VISUAL FIRST

COST / DEMAND / SUPPLY / PRICES / INTER-CROP PARITY

-> CACP RECOMMENDATION

-> not final Cabinet decision

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

The Commission for Agricultural Costs and Prices is an attached office that recommends price policy after examining costs and wider market and policy factors.

**ANSWER-GRABBING LINE:** CACP supplies an expert recommendation; it neither legislates a price nor physically procures crops.

**MUST-WRITE KEYWORDS:** cACP's, advisory, role, cACP, supplies, an, expert, recommendation.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** CACP supplies an expert recommendation; it neither legislates a price nor physically procures crops.
- **Named evidence:** CACP Price Policy reports consider cost of production, demand-supply, domestic and international prices, inter-crop parity, terms of trade and likely implications.
- **Analysis:** The multi-factor approach prevents MSP from being reduced to one mechanical cost multiplication.
- **Qualification / demand link:** The weight and estimation of factors vary by crop and season, and the recommendation remains advisory.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** CACP Price Policy reports consider cost of production, demand-supply, domestic and international prices, inter-crop parity, terms of trade and likely implications.
- **Analytical inference:** The multi-factor approach prevents MSP from being reduced to one mechanical cost multiplication.
- **Qualification:** The weight and estimation of factors vary by crop and season, and the recommendation remains advisory.

## PRELIMS TRAP

CACP does not make the final Union Cabinet announcement.

## MAINS USE

Use CACP as the expert-input stage in the institutional sequence.

## MINI RECAP

- Definition: The Commission for Agricultural Costs and Prices is an attached office that recommends price policy after examining costs and wider market and policy factors.
- Evidence anchor: CACP Price Policy reports consider cost of production, demand-supply, domestic and international prices, inter-crop parity, terms of trade and likely implications.
- Limitation: The weight and estimation of factors vary by crop and season, and the recommendation remains advisory.

## CORE SESSION 4 - Cabinet and CCEA decision

## VISUAL FIRST

CACP RECOMMENDATION -> INTER-MINISTERIAL CONSIDERATION  
-> CCEA APPROVAL / UNION ANNOUNCEMENT

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

The Cabinet Committee on Economic Affairs takes the Union-level decision approving MSPs after considering the CACP recommendation and government policy.

**ANSWER-GRABBING LINE:** Recommendation and decision are separate constitutional-administrative stages.

**MUST-WRITE KEYWORDS:** cabinet, and, ccea, decision, recommendation, are, separate.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Recommendation and decision are separate constitutional-administrative stages.
- **Named evidence:** Official seasonal releases identify CCEA approval and publish crop-wise MSP, estimated A2+FL cost and margin tables.
- **Analysis:** The separation preserves political accountability for a decision with fiscal, inflation and cropping consequences.
- **Qualification / demand link:** Cabinet may accept or modify advice; the announced price remains distinct from procurement instructions.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** Official seasonal releases identify CCEA approval and publish crop-wise MSP, estimated A2+FL cost and margin tables.
- **Analytical inference:** The separation preserves political accountability for a decision with fiscal, inflation and cropping consequences.
- **Qualification:** Cabinet may accept or modify advice; the announced price remains distinct from procurement instructions.

## PRELIMS TRAP

Do not attribute final MSP notification to CACP alone.

## MAINS USE

Map CACP -> CCEA -> agencies in every institutional answer.

## MINI RECAP

- Definition: The Cabinet Committee on Economic Affairs takes the Union-level decision approving MSPs after considering the CACP recommendation and government policy.
- Evidence anchor: Official seasonal releases identify CCEA approval and publish crop-wise MSP, estimated A2+FL cost and margin tables.
- Limitation: Cabinet may accept or modify advice; the announced price remains distinct from procurement instructions.

## CORE SESSION 5 - Mandated crops and FRP boundary

## VISUAL FIRST

22 MANDATED MSP CROPS

14 kharif + 6 rabi + jute + copra

DERIVED: toria / de-husked coconut

SUGARCANE -> separate FRP mechanism

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

The Union announces MSP for 22 mandated crops, with derived prices for toria and de-husked coconut; sugarcane is governed by a separate Fair and Remunerative Price framework.

**ANSWER-GRABBING LINE:** The crop list defines price-policy coverage, not nationwide procurement coverage.

**MUST-WRITE KEYWORDS:** mandated, crops, and, frp, boundary, the, crop, list, defines, price-policy.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** The crop list defines price-policy coverage, not nationwide procurement coverage.
- **Named evidence:** Official PIB and Agriculture Ministry backgrounders list 14 kharif crops, 6 rabi crops, jute and copra; toria and de-husked coconut prices derive from related crops.
- **Analysis:** The list spans cereals, pulses, oilseeds and commercial crops, but physical purchase depth differs sharply.
- **Qualification / demand link:** The list and seasonal rates must be checked against the relevant official release before quoting.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** Official PIB and Agriculture Ministry backgrounders list 14 kharif crops, 6 rabi crops, jute and copra; toria and de-husked coconut prices derive from related crops.
- **Analytical inference:** The list spans cereals, pulses, oilseeds and commercial crops, but physical purchase depth differs sharply.
- **Qualification:** The list and seasonal rates must be checked against the relevant official release before quoting.

## PRELIMS TRAP

Do not call sugarcane FRP a CACP-style MSP in a close-option question.

## MAINS USE

Use 22 mandated crops only with the current-source and procurement caveat.

## MINI RECAP

- Definition: The Union announces MSP for 22 mandated crops, with derived prices for toria and de-husked coconut; sugarcane is governed by a separate Fair and Remunerative Price framework.
- Evidence anchor: Official PIB and Agriculture Ministry backgrounders list 14 kharif crops, 6 rabi crops, jute and copra; toria and de-husked coconut prices derive from related crops.
- Limitation: The list and seasonal rates must be checked against the relevant official release before quoting.

## CORE SESSION 6 - Current seasonal MSP status

## VISUAL FIRST

RMS 2026-27 -> CCEA approval 1 OCT 2025

KMS 2026-27 -> CCEA approval 13 MAY 2026

rates remain season-specific and should be read from those releases

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

A current MSP statement must identify the crop, marketing season, unit, quality category and approval date.

**ANSWER-GRABBING LINE:** Current price literacy means citing the official seasonal table, not carrying an old rupee figure into a new marketing season.

**MUST-WRITE KEYWORDS:** current, seasonal, msp, status, price, literacy, means, citing.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Current price literacy means citing the official seasonal table, not carrying an old rupee figure into a new marketing season.
- **Named evidence:** The CCEA approved Rabi Marketing Season 2026-27 MSPs on 1 October 2025 and Kharif Marketing Season 2026-27 MSPs on 13 May 2026.
- **Analysis:** Dating the release distinguishes current price policy from a permanent statutory formula.
- **Qualification / demand link:** This package deliberately does not freeze a 22-crop rupee table; category-specific rates and varieties must be checked in the official release.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** The CCEA approved Rabi Marketing Season 2026-27 MSPs on 1 October 2025 and Kharif Marketing Season 2026-27 MSPs on 13 May 2026.
- **Analytical inference:** Dating the release distinguishes current price policy from a permanent statutory formula.
- **Qualification:** This package deliberately does not freeze a 22-crop rupee table; category-specific rates and varieties must be checked in the official release.

## PRELIMS TRAP

A paddy, cotton or copra MSP may have more than one quality or variety entry.

## MAINS USE

If using a current rate, name crop, variety, rupees per quintal and season.

## MINI RECAP

- Definition: A current MSP statement must identify the crop, marketing season, unit, quality category and approval date.
- Evidence anchor: The CCEA approved Rabi Marketing Season 2026-27 MSPs on 1 October 2025 and Kharif Marketing Season 2026-27 MSPs on 13 May 2026.
- Limitation: This package deliberately does not freeze a 22-crop rupee table; category-specific rates and varieties must be checked in the official release.

## CORE SESSION 7 - A2 paid-out cost

## VISUAL FIRST

A2 = seed + fertiliser + hired labour + fuel + irrigation  
+ rent paid + interest on working capital + other paid expenses

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

A2 is the CACP cost concept covering actual paid-out expenses in cash or kind for cultivation, subject to the official methodology.

**ANSWER-GRABBING LINE:** A2 measures explicit cultivation expenditure, not the full opportunity cost of family-owned resources.

**MUST-WRITE KEYWORDS:** a2, paid-out, cost, measures, explicit, cultivation, expenditure.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** A2 measures explicit cultivation expenditure, not the full opportunity cost of family-owned resources.
- **Named evidence:** CACP cost studies include items such as seed, fertiliser, hired labour, machinery, irrigation charges and working-capital interest within the prescribed method.
- **Analysis:** A2 helps compare the announced price with cash and kind costs that the farmer directly incurs.
- **Qualification / demand link:** Crop-State estimates are survey-based averages and not every farm's actual ledger.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** CACP cost studies include items such as seed, fertiliser, hired labour, machinery, irrigation charges and working-capital interest within the prescribed method.
- **Analytical inference:** A2 helps compare the announced price with cash and kind costs that the farmer directly incurs.
- **Qualification:** Crop-State estimates are survey-based averages and not every farm's actual ledger.

## PRELIMS TRAP

A2 does not include imputed unpaid family labour.

## MAINS USE

Define A2 before discussing a margin over cost.

## MINI RECAP

- Definition: A2 is the CACP cost concept covering actual paid-out expenses in cash or kind for cultivation, subject to the official methodology.
- Evidence anchor: CACP cost studies include items such as seed, fertiliser, hired labour, machinery, irrigation charges and working-capital interest within the prescribed method.
- Limitation: Crop-State estimates are survey-based averages and not every farm's actual ledger.

## CORE SESSION 8 - A2 plus family labour

## VISUAL FIRST

$A2 + FL = \text{PAID-OUT COST} + \text{IMPUTED UNPAID FAMILY LABOUR}$

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

A2+FL adds the imputed value of unpaid family labour to A2.

**ANSWER-GRABBING LINE:** The official 1.5-times pricing policy uses the all-India weighted average A2+FL cost estimate, not C2.

**MUST-WRITE KEYWORDS:** a2, plus, family, labour, the, official, 1, 5-times, pricing.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** The official 1.5-times pricing policy uses the all-India weighted average A2+FL cost estimate, not C2.
- **Named evidence:** Government seasonal MSP tables publish estimated cost and margin using the A2+FL basis.
- **Analysis:** Imputation recognises that family work has an economic cost even without a cash wage payment.
- **Qualification / demand link:** The estimate remains an average and does not guarantee the same margin for every State or farm.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** Government seasonal MSP tables publish estimated cost and margin using the A2+FL basis.
- **Analytical inference:** Imputation recognises that family work has an economic cost even without a cash wage payment.
- **Qualification:** The estimate remains an average and does not guarantee the same margin for every State or farm.

## PRELIMS TRAP

A2+FL is broader than A2 but narrower than C2.

## MAINS USE

Name the base whenever citing the 50 per cent margin policy.

## MINI RECAP

- Definition: A2+FL adds the imputed value of unpaid family labour to A2.
- Evidence anchor: Government seasonal MSP tables publish estimated cost and margin using the A2+FL basis.
- Limitation: The estimate remains an average and does not guarantee the same margin for every State or farm.

## CORE SESSION 9 - C2 comprehensive cost

## VISUAL FIRST

$$C2 = A2 + FL + \text{IMPUTED RENT ON OWNED LAND} \\ + \text{IMPUTED INTEREST ON OWNED FIXED CAPITAL}$$

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

C2 is a broader CACP cost concept that adds imputed rental value of owned land and interest on owned fixed capital to A2+FL.

**ANSWER-GRABBING LINE:** C2 captures opportunity costs of owned land and fixed capital, but it is not the official base of the 1.5-times MSP announcement policy.

**MUST-WRITE KEYWORDS:** c2, comprehensive, cost, captures, opportunity, costs, of.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** C2 captures opportunity costs of owned land and fixed capital, but it is not the official base of the 1.5-times MSP announcement policy.
- **Named evidence:** CACP reports use C2 in broader profitability and cost assessment, while farmer organisations often frame a C2-plus-50-per-cent demand.
- **Analysis:** The difference explains why two margin claims can diverge without either using the same denominator.
- **Qualification / demand link:** C2 estimation also varies across crops and States and should not be treated as one national farm cost.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** CACP reports use C2 in broader profitability and cost assessment, while farmer organisations often frame a C2-plus-50-per-cent demand.
- **Analytical inference:** The difference explains why two margin claims can diverge without either using the same denominator.
- **Qualification:** C2 estimation also varies across crops and States and should not be treated as one national farm cost.

## PRELIMS TRAP

Never write 'MSP equals C2 plus 50 per cent' as current official policy.

## MAINS USE

Compare A2+FL and C2 explicitly in Mains answers.

## MINI RECAP

- Definition: C2 is a broader CACP cost concept that adds imputed rental value of owned land and interest on owned fixed capital to A2+FL.
- Evidence anchor: CACP reports use C2 in broader profitability and cost assessment, while farmer organisations often frame a C2-plus-50-per-cent demand.
- Limitation: C2 estimation also varies across crops and States and should not be treated as one national farm cost.

## CORE SESSION 10 - Official pricing formula and qualification

## VISUAL FIRST

ALL-INDIA WEIGHTED AVERAGE A2+FL x AT LEAST 1.5

-> MSP POLICY BENCHMARK

CACP still considers wider market and policy factors

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

Since the Union Budget 2018-19 policy, MSPs are fixed at least 1.5 times the all-India weighted average cost of production measured on the A2+FL basis.

**ANSWER-GRABBING LINE:** The formula states a policy floor over an estimated average, not a legal purchase guarantee or farm-specific profit.

**MUST-WRITE KEYWORDS:** official, pricing, formula, and, qualification, the, states, a, policy.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** The formula states a policy floor over an estimated average, not a legal purchase guarantee or farm-specific profit.
- **Named evidence:** Official CCEA releases calculate crop margins over the all-India weighted average A2+FL estimate.
- **Analysis:** The benchmark offers a transparent reference while CACP also examines demand, supply, parity, prices and policy effects.
- **Qualification / demand link:** A farmer with higher local costs or weak procurement may not realise the published margin.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** Official CCEA releases calculate crop margins over the all-India weighted average A2+FL estimate.
- **Analytical inference:** The benchmark offers a transparent reference while CACP also examines demand, supply, parity, prices and policy effects.
- **Qualification:** A farmer with higher local costs or weak procurement may not realise the published margin.

## PRELIMS TRAP

The official 50 per cent margin and the C2-plus-50 demand use different cost bases.

## MAINS USE

Write the exact base, average and procurement qualification.

## MINI RECAP

- Definition: Since the Union Budget 2018-19 policy, MSPs are fixed at least 1.5 times the all-India weighted average cost of production measured on the A2+FL basis.
- Evidence anchor: Official CCEA releases calculate crop margins over the all-India weighted average A2+FL estimate.
- Limitation: A farmer with higher local costs or weak procurement may not realise the published margin.

## CORE SESSION 11 - Beyond-cost factors in MSP



## VISUAL FIRST

COST + DEMAND/SUPPLY + INTER-CROP PARITY + MARKET PRICES  
+ TERMS OF TRADE + CONSUMER EFFECT + FISCAL / STOCK IMPLICATIONS

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

Price policy combines cost evidence with production, market, consumer and macroeconomic considerations.

**ANSWER-GRABBING LINE:** A cost-plus rule alone cannot choose an efficient relative-price structure across crops.

**MUST-WRITE KEYWORDS:** beyond-cost, factors, in, msp, a, cost-plus, rule, alone, cannot.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** A cost-plus rule alone cannot choose an efficient relative-price structure across crops.
- **Named evidence:** CACP's mandate includes demand-supply, inter-crop parity, domestic and international prices, terms of trade and likely effects on the economy.
- **Analysis:** Relative prices affect sowing, inflation, procurement volumes, stock accumulation and consumer affordability.
- **Qualification / demand link:** International comparisons and demand conditions must be crop- and season-specific.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** CACP's mandate includes demand-supply, inter-crop parity, domestic and international prices, terms of trade and likely effects on the economy.
- **Analytical inference:** Relative prices affect sowing, inflation, procurement volumes, stock accumulation and consumer affordability.
- **Qualification:** International comparisons and demand conditions must be crop- and season-specific.

## PRELIMS TRAP

MSP is not determined solely by adding a margin to one cost estimate.

## MAINS USE

Use the factor matrix to explain why price policy involves trade-offs.

## MINI RECAP

- Definition: Price policy combines cost evidence with production, market, consumer and macroeconomic considerations.
- Evidence anchor: CACP's mandate includes demand-supply, inter-crop parity, domestic and international prices, terms of trade and likely effects on the economy.
- Limitation: International comparisons and demand conditions must be crop- and season-specific.

## CORE SESSION 12 - Price support versus income support

## VISUAL FIRST

PRICE SUPPORT -> changes crop price and market incentive  
INCOME SUPPORT -> transfer to household / cultivator  
same welfare goal, different market effects

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

Price support works through the commodity price, whereas income support transfers purchasing power without necessarily changing the crop price.

**ANSWER-GRABBING LINE:** The choice between the two instruments depends on whether policy seeks output incentive, downside protection, household support or all three.

**MUST-WRITE KEYWORDS:** price, support, versus, income, the, choice, between, two.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** The choice between the two instruments depends on whether policy seeks output incentive, downside protection, household support or all three.
- **Named evidence:** MSP-backed procurement can support a crop price; direct transfers such as farmer-income schemes operate through beneficiary payments.
- **Analysis:** Price support can distort crop choice and generate stocks, while income support can be more crop-neutral.
- **Qualification / demand link:** Income transfers still require accurate beneficiary and land or cultivation records and may not insure a price collapse.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** MSP-backed procurement can support a crop price; direct transfers such as farmer-income schemes operate through beneficiary payments.
- **Analytical inference:** Price support can distort crop choice and generate stocks, while income support can be more crop-neutral.
- **Qualification:** Income transfers still require accurate beneficiary and land or cultivation records and may not insure a price collapse.

## PRELIMS TRAP

Price support and income support are not interchangeable accounting categories.

## MAINS USE

Compare incidence, targeting, production signal and fiscal cost.

## MINI RECAP

- Definition: Price support works through the commodity price, whereas income support transfers purchasing power without necessarily changing the crop price.
- Evidence anchor: MSP-backed procurement can support a crop price; direct transfers such as farmer-income schemes operate through beneficiary payments.
- Limitation: Income transfers still require accurate beneficiary and land or cultivation records and may not insure a price collapse.

## CORE SESSION 13 - Procurement process and FAQ

### VISUAL FIRST

FARMER ARRIVAL -> FAIR AVERAGE QUALITY TEST -> WEIGHMENT  
-> PURCHASE / PAYMENT -> MOVEMENT -> CENTRAL POOL OR STATE USE

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

### DEFINITION

Procurement is actual agency purchase of eligible produce under specified crop, quality, season, place and operational conditions.

**ANSWER-GRABBING LINE:** Procurement converts an announced price into a transaction and a public-stock liability.

**MUST-WRITE KEYWORDS:** procurement, process, and, faq, converts, an, announced, price.

### HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Procurement converts an announced price into a transaction and a public-stock liability.
- **Named evidence:** FCI, State agencies and designated institutions purchase produce meeting Fair Average Quality specifications during notified operations.
- **Analysis:** Quality testing protects stock usability and standardises purchase, while purchase creates payment, handling and storage obligations.
- **Qualification / demand link:** Delayed opening, distance, moisture limits or weak agency presence can reduce effective access.

### EVIDENCE AND INFERENCE

- **Fact/evidence:** FCI, State agencies and designated institutions purchase produce meeting Fair Average Quality specifications during notified operations.
- **Analytical inference:** Quality testing protects stock usability and standardises purchase, while purchase creates payment, handling and storage obligations.
- **Qualification:** Delayed opening, distance, moisture limits or weak agency presence can reduce effective access.

### PRELIMS TRAP

MSP notification alone is not procurement.

### MAINS USE

Trace the transaction from arrival to payment and stock destination.

### MINI RECAP

- Definition: Procurement is actual agency purchase of eligible produce under specified crop, quality, season, place and operational conditions.
- Evidence anchor: FCI, State agencies and designated institutions purchase produce meeting Fair Average Quality specifications during notified operations.
- Limitation: Delayed opening, distance, moisture limits or weak agency presence can reduce effective access.

## CORE SESSION 14 - Open-ended procurement: exact boundary

## VISUAL FIRST

PADDY / WHEAT OFFERED IN OPERATING AREA + FAQ + PROCUREMENT PERIOD  
-> purchased without a pre-fixed farmer quantity ceiling  
NOT every crop / place / quality

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

Open-ended procurement means that conforming paddy or wheat offered within an operating procurement system is purchased without a predetermined aggregate purchase cap.

**ANSWER-GRABBING LINE:** Open-ended describes the purchase rule inside the operation, not universal access across all crops and regions.

**MUST-WRITE KEYWORDS:** open-ended, procurement, exact, boundary, describes, the, purchase, rule.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Open-ended describes the purchase rule inside the operation, not universal access across all crops and regions.
- **Named evidence:** Government price-support operations for paddy and wheat are officially described as open-ended where eligible FAQ produce is offered during the procurement period.
- **Analysis:** The arrangement makes stock accumulation endogenous to arrivals and the gap between MSP and market conditions.
- **Qualification / demand link:** Geography, procurement centres, quality, timing and State arrangements remain limiting conditions.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** Government price-support operations for paddy and wheat are officially described as open-ended where eligible FAQ produce is offered during the procurement period.
- **Analytical inference:** The arrangement makes stock accumulation endogenous to arrivals and the gap between MSP and market conditions.
- **Qualification:** Geography, procurement centres, quality, timing and State arrangements remain limiting conditions.

## PRELIMS TRAP

Oilseed procurement is not universally open-ended on the paddy-wheat model.

## MAINS USE

Use the full eligibility sentence whenever writing 'open-ended'.

## MINI RECAP

- Definition: Open-ended procurement means that conforming paddy or wheat offered within an operating procurement system is purchased without a predetermined aggregate purchase cap.
- Evidence anchor: Government price-support operations for paddy and wheat are officially described as open-ended where eligible FAQ produce is offered during the procurement period.
- Limitation: Geography, procurement centres, quality, timing and State arrangements remain limiting conditions.

## CORE SESSION 15 - Crop and State concentration

## VISUAL FIRST

MSP LIST: broad

ACTUAL PROCUREMENT: deep in paddy/wheat and selected States  
-> unequal effective support

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

Procurement concentration is the uneven distribution of public purchase across crops, States and marketing channels.

**ANSWER-GRABBING LINE:** Announced coverage is broad, but realised support is concentrated where agencies, infrastructure and market arrivals are dense.

**MUST-WRITE KEYWORDS:** crop, and, state, concentration, announced, coverage, is, broad, but.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Announced coverage is broad, but realised support is concentrated where agencies, infrastructure and market arrivals are dense.
- **Named evidence:** Paddy and wheat procurement has historically been much deeper than most pulses and oilseeds and concentrated in established procurement States.
- **Analysis:** Concentration supports central-pool supply efficiently but reinforces cereal incentives and regional fiscal transfers.
- **Qualification / demand link:** Decentralised procurement and newer operations can broaden geography, yet yearly quantities remain variable.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** Paddy and wheat procurement has historically been much deeper than most pulses and oilseeds and concentrated in established procurement States.
- **Analytical inference:** Concentration supports central-pool supply efficiently but reinforces cereal incentives and regional fiscal transfers.
- **Qualification:** Decentralised procurement and newer operations can broaden geography, yet yearly quantities remain variable.

## PRELIMS TRAP

Counting MSP crops does not measure farmer access to procurement.

## MAINS USE

Separate price coverage, procurement share and beneficiary distribution.

## MINI RECAP

- Definition: Procurement concentration is the uneven distribution of public purchase across crops, States and marketing channels.
- Evidence anchor: Paddy and wheat procurement has historically been much deeper than most pulses and oilseeds and concentrated in established procurement States.
- Limitation: Decentralised procurement and newer operations can broaden geography, yet yearly quantities remain variable.

## CORE SESSION 16 - Pulses and oilseeds procurement

## VISUAL FIRST

MARKET PRICE < MSP -> PSS / DESIGNATED OPERATION  
NAFED / NCCF / STATE AGENCY -> quantity, quality and approval conditions  
not automatic unlimited purchase

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

Pulses, oilseeds and copra may be procured under the Price Support Scheme component of PM-AASHA through designated agencies and approved operations.

**ANSWER-GRABBING LINE:** These operations seek to support prices and diversification but differ from routine open-ended paddy-wheat procurement.

**MUST-WRITE KEYWORDS:** pulses, and, oilseeds, procurement, these, operations, seek, to, support.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** These operations seek to support prices and diversification but differ from routine open-ended paddy-wheat procurement.
- **Named evidence:** NAFED, NCCF and State agencies are used in approved price-support operations for eligible produce.
- **Analysis:** Conditional operations can support strategic crops without creating unlimited central stocks of every commodity.
- **Qualification / demand link:** Approvals, quantities, periods, quality and agency roles are status-sensitive and must be checked for the season.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** NAFED, NCCF and State agencies are used in approved price-support operations for eligible produce.
- **Analytical inference:** Conditional operations can support strategic crops without creating unlimited central stocks of every commodity.
- **Qualification:** Approvals, quantities, periods, quality and agency roles are status-sensitive and must be checked for the season.

## PRELIMS TRAP

MSP announcement for an oilseed is not proof of unrestricted nationwide purchase.

## MAINS USE

Use the instrument to discuss diversification with an operational caveat.

## MINI RECAP

- Definition: Pulses, oilseeds and copra may be procured under the Price Support Scheme component of PM-AASHA through designated agencies and approved operations.
- Evidence anchor: NAFED, NCCF and State agencies are used in approved price-support operations for eligible produce.
- Limitation: Approvals, quantities, periods, quality and agency roles are status-sensitive and must be checked for the season.

## CORE SESSION 17 - Decentralised Procurement Scheme

### VISUAL FIRST

STATE PROCURES -> STORES -> DISTRIBUTES NFSA ALLOCATION  
excess -> central pool | shortfall -> FCI support  
Centre reimburses approved costs

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

### DEFINITION

Under decentralised procurement, participating States procure foodgrains, store and distribute their NFSA requirement, with central-pool adjustment and approved cost reimbursement.

**ANSWER-GRABBING LINE:** DCP can align local procurement with distribution and broaden State capacity while retaining national financing and standards.

**MUST-WRITE KEYWORDS:** decentralised, procurement, scheme, dcp, can, align, local.

### HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** DCP can align local procurement with distribution and broaden State capacity while retaining national financing and standards.
- **Named evidence:** DFPD and FCI describe State procurement, local distribution, excess transfer and shortfall support within the decentralised framework.
- **Analysis:** Shorter movement chains can reduce logistics and encourage local participation.
- **Qualification / demand link:** State capacity, quality control, storage and timely accounts determine performance.

### EVIDENCE AND INFERENCE

- **Fact/evidence:** DFPD and FCI describe State procurement, local distribution, excess transfer and shortfall support within the decentralised framework.
- **Analytical inference:** Shorter movement chains can reduce logistics and encourage local participation.
- **Qualification:** State capacity, quality control, storage and timely accounts determine performance.

### PRELIMS TRAP

Decentralisation does not eliminate the central pool or Union subsidy.

### MAINS USE

Use DCP as a federal reform, not as full food-policy devolution.

### MINI RECAP

- Definition: Under decentralised procurement, participating States procure foodgrains, store and distribute their NFSA requirement, with central-pool adjustment and approved cost reimbursement.
- Evidence anchor: DFPD and FCI describe State procurement, local distribution, excess transfer and shortfall support within the decentralised framework.
- Limitation: State capacity, quality control, storage and timely accounts determine performance.

## CORE SESSION 18 - Central pool

## VISUAL FIRST

PROCURED BY FCI / STATE AGENCIES  
-> CENTRAL POOL  
NFSA + OWS + BUFFER + EMERGENCY + OMSS

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

The central pool is the public foodgrain stock procured through FCI and State agencies for statutory distribution, welfare, buffer and market-management purposes.

**ANSWER-GRABBING LINE:** Central-pool accounting links farmer purchase to national allocation and stabilisation.

**MUST-WRITE KEYWORDS:** central, pool, central-pool, accounting, links, farmer, purchase.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Central-pool accounting links farmer purchase to national allocation and stabilisation.
- **Named evidence:** FCI receives or accounts for eligible stocks procured centrally and under State arrangements for Union food-management uses.
- **Analysis:** Pooling permits inter-State movement from surplus procurement areas to deficit consumption areas.
- **Qualification / demand link:** Physical location, ownership accounting and scheme allocation must still be distinguished.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** FCI receives or accounts for eligible stocks procured centrally and under State arrangements for Union food-management uses.
- **Analytical inference:** Pooling permits inter-State movement from surplus procurement areas to deficit consumption areas.
- **Qualification:** Physical location, ownership accounting and scheme allocation must still be distinguished.

## PRELIMS TRAP

A State warehouse stock is not automatically outside the central pool.

## MAINS USE

Define the pool by ownership and purpose, not storage location alone.

## MINI RECAP

- Definition: The central pool is the public foodgrain stock procured through FCI and State agencies for statutory distribution, welfare, buffer and market-management purposes.
- Evidence anchor: FCI receives or accounts for eligible stocks procured centrally and under State arrangements for Union food-management uses.
- Limitation: Physical location, ownership accounting and scheme allocation must still be distinguished.

## CORE SESSION 19 - FCI mandate



## VISUAL FIRST

FCI: PROCUREMENT -> STORAGE -> MOVEMENT -> DISTRIBUTION  
+ BUFFER MANAGEMENT + OMSS SUPPORT  
created under Food Corporations Act, 1964

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

The Food Corporation of India is a statutory corporation established under the Food Corporations Act, 1964 to support procurement, storage, movement, distribution and food-policy operations.

**ANSWER-GRABBING LINE:** FCI is the logistics and stock-management bridge between price support and national food distribution.

**MUST-WRITE KEYWORDS:** fci, mandate, is, the, logistics, and.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** FCI is the logistics and stock-management bridge between price support and national food distribution.
- **Named evidence:** Its official mandate covers procurement support, buffer maintenance, movement across regions and issue for NFSA and other schemes.
- **Analysis:** The network permits national balancing but creates large handling, storage and financing obligations.
- **Qualification / demand link:** State agencies, warehouses, railways and private capacity also participate; FCI is not the only operational actor.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** Its official mandate covers procurement support, buffer maintenance, movement across regions and issue for NFSA and other schemes.
- **Analytical inference:** The network permits national balancing but creates large handling, storage and financing obligations.
- **Qualification:** State agencies, warehouses, railways and private capacity also participate; FCI is not the only operational actor.

## PRELIMS TRAP

FCI does not itself decide the legal NFSA coverage ceiling.

## MAINS USE

Use its statutory and operational functions, then assess cost and reform.

## MINI RECAP

- Definition: The Food Corporation of India is a statutory corporation established under the Food Corporations Act, 1964 to support procurement, storage, movement, distribution and food-policy operations.
- Evidence anchor: Its official mandate covers procurement support, buffer maintenance, movement across regions and issue for NFSA and other schemes.
- Limitation: State agencies, warehouses, railways and private capacity also participate; FCI is not the only operational actor.

## CORE SESSION 20 - FCI economic cost

## VISUAL FIRST

$MSP + \text{PROCUREMENT INCIDENTALS} = \text{ACQUISITION COST}$   
 $\text{ACQUISITION COST} + \text{DISTRIBUTION COST} = \text{ECONOMIC COST}$

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

FCI economic cost is the sum of acquisition cost and distribution cost for foodgrains.

**ANSWER-GRABBING LINE:** Economic cost is broader than MSP because public purchase creates incidental, storage, movement, handling and administrative costs.

**MUST-WRITE KEYWORDS:** fci, economic, cost, is, broader, than.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Economic cost is broader than MSP because public purchase creates incidental, storage, movement, handling and administrative costs.
- **Named evidence:** FCI's Annual Report 2024-25 states that economic cost comprises MSP, procurement incidentals and distribution cost.
- **Analysis:** The gap between economic cost and the applicable issue price or free distribution is financed through food subsidy.
- **Qualification / demand link:** Commodity and year-specific economic-cost values are variable and are not frozen in this package.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** FCI's Annual Report 2024-25 states that economic cost comprises MSP, procurement incidentals and distribution cost.
- **Analytical inference:** The gap between economic cost and the applicable issue price or free distribution is financed through food subsidy.
- **Qualification:** Commodity and year-specific economic-cost values are variable and are not frozen in this package.

## PRELIMS TRAP

MSP alone is not FCI's economic cost.

## MAINS USE

Use the two-step formula in Prelims and fiscal-cost analysis.

## MINI RECAP

- Definition: FCI economic cost is the sum of acquisition cost and distribution cost for foodgrains.
- Evidence anchor: FCI's Annual Report 2024-25 states that economic cost comprises MSP, procurement incidentals and distribution cost.
- Limitation: Commodity and year-specific economic-cost values are variable and are not frozen in this package.

## CORE SESSION 21 - Carrying cost and stock duration

## VISUAL FIRST

STOCK x TIME -> interest + storage + handling + preservation  
+ quality risk + opportunity cost

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

Carrying cost is the cost of financing and maintaining stocks over time, including storage, handling, preservation and related overheads.

**ANSWER-GRABBING LINE:** The fiscal burden depends not only on tonnes procured but on how long and where they are held.

**MUST-WRITE KEYWORDS:** carrying, cost, and, stock, duration, the, fiscal, burden, depends, not.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** The fiscal burden depends not only on tonnes procured but on how long and where they are held.
- **Named evidence:** FCI food subsidy accounting includes the cost of carrying buffer stocks in addition to acquisition and distribution operations.
- **Analysis:** Slow rotation raises interest and quality risks and can crowd warehouse capacity.
- **Qualification / demand link:** Strategic insurance has value, so zero carrying cost is neither feasible nor desirable.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** FCI food subsidy accounting includes the cost of carrying buffer stocks in addition to acquisition and distribution operations.
- **Analytical inference:** Slow rotation raises interest and quality risks and can crowd warehouse capacity.
- **Qualification:** Strategic insurance has value, so zero carrying cost is neither feasible nor desirable.

## PRELIMS TRAP

High stocks are not free simply because grain remains an asset.

## MAINS USE

Evaluate stock policy through quantity, duration, quality and release.

## MINI RECAP

- Definition: Carrying cost is the cost of financing and maintaining stocks over time, including storage, handling, preservation and related overheads.
- Evidence anchor: FCI food subsidy accounting includes the cost of carrying buffer stocks in addition to acquisition and distribution operations.
- Limitation: Strategic insurance has value, so zero carrying cost is neither feasible nor desirable.

## CORE SESSION 22 - Why maintain buffer stocks

## VISUAL FIRST

OPERATIONAL STOCK -> routine NFSA / welfare movement  
STRATEGIC RESERVE -> shock / crop failure / emergency  
combined norm -> minimum quarterly readiness

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

Buffer stocks are publicly held foodgrains used for routine distribution continuity, emergency security and price-stabilisation support.

**ANSWER-GRABBING LINE:** A buffer is both an operating inventory and strategic insurance, not merely famine storage.

**MUST-WRITE KEYWORDS:** why, maintain, buffer, stocks, a, is, both, an.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** A buffer is both an operating inventory and strategic insurance, not merely famine storage.
- **Named evidence:** Official norms combine operational requirements with strategic reserves for rice and wheat at quarterly dates.
- **Analysis:** Stocks allow seasonal smoothing, emergency response and continuity of statutory distribution.
- **Qualification / demand link:** Excess beyond justified needs raises costs and may distort private storage or market supply.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** Official norms combine operational requirements with strategic reserves for rice and wheat at quarterly dates.
- **Analytical inference:** Stocks allow seasonal smoothing, emergency response and continuity of statutory distribution.
- **Qualification:** Excess beyond justified needs raises costs and may distort private storage or market supply.

## PRELIMS TRAP

The buffer norm is a benchmark, not the actual stock on every day.

## MAINS USE

Separate operational need, strategic reserve and discretionary excess.

## MINI RECAP

- Definition: Buffer stocks are publicly held foodgrains used for routine distribution continuity, emergency security and price-stabilisation support.
- Evidence anchor: Official norms combine operational requirements with strategic reserves for rice and wheat at quarterly dates.
- Limitation: Excess beyond justified needs raises costs and may distort private storage or market supply.

## CORE SESSION 23 - Quarterly buffer-stock norms

## VISUAL FIRST

1 APR: W 7.46 + R 13.58 = 21.04 MMT  
1 JUL: W 27.58 + R 13.54 = 41.12 MMT  
1 OCT: W 20.52 + R 10.25 = 30.77 MMT  
1 JAN: W 13.80 + R 7.61 = 21.41 MMT

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

Central-pool buffer norms specify minimum rice and wheat stocks at the beginning of each quarter, combining operational and strategic requirements.

**ANSWER-GRABBING LINE:** Norms are seasonal because procurement arrivals and distribution needs vary through the year.

**MUST-WRITE KEYWORDS:** quarterly, buffer-stock, norms, are, seasonal, because, procurement.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Norms are seasonal because procurement arrivals and distribution needs vary through the year.
- **Named evidence:** The official norms approved in January 2015 and still cited in official material checked on 9 September 2026 are 21.04, 41.12, 30.77 and 21.41 million tonnes on 1 April, 1 July, 1 October and 1 January respectively.
- **Analysis:** The high July wheat norm follows rabi procurement, while quarterly rice needs reflect kharif arrivals and distribution cycles.
- **Qualification / demand link:** These are minimum norms, not current-stock figures; any actual stock must carry its exact date and source.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** The official norms approved in January 2015 and still cited in official material checked on 9 September 2026 are 21.04, 41.12, 30.77 and 21.41 million tonnes on 1 April, 1 July, 1 October and 1 January respectively.
- **Analytical inference:** The high July wheat norm follows rabi procurement, while quarterly rice needs reflect kharif arrivals and distribution cycles.
- **Qualification:** These are minimum norms, not current-stock figures; any actual stock must carry its exact date and source.

## PRELIMS TRAP

Do not compare an undated stock number with a quarterly norm.

## MAINS USE

Quote units, date and rice-wheat composition together.

## MINI RECAP

- Definition: Central-pool buffer norms specify minimum rice and wheat stocks at the beginning of each quarter, combining operational and strategic requirements.
- Evidence anchor: The official norms approved in January 2015 and still cited in official material checked on 9 September 2026 are 21.04, 41.12, 30.77 and 21.41 million tonnes on 1 April, 1 July, 1 October and 1 January respectively.
- Limitation: These are minimum norms, not current-stock figures; any actual stock must carry its exact date and source.

## CORE SESSION 24 - Actual stocks, excess and dynamic stocking

### VISUAL FIRST

ACTUAL CENTRAL-POOL STOCK - QUARTERLY NORM = surplus or gap  
then test pipeline, distribution, quality and market conditions

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

### DEFINITION

Actual stock is the dated physical and accounting inventory, whereas excess stock is a policy judgement relative to norms and foreseeable obligations.

**ANSWER-GRABBING LINE:** Dynamic stocking should use current demand, arrivals, emergency risk and storage quality rather than a static 'more is better' rule.

**MUST-WRITE KEYWORDS:** actual, stocks, excess, and, dynamic, stocking, should, use, current.

### HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Dynamic stocking should use current demand, arrivals, emergency risk and storage quality rather than a static 'more is better' rule.
- **Named evidence:** DFPD monthly foodgrain bulletins report dated central-pool stocks, while norms provide the minimum benchmark.
- **Analysis:** Comparing the two helps plan OMSS, movement, milling and procurement without undermining readiness.
- **Qualification / demand link:** Stocks committed to distribution or located poorly may not be freely disposable.

### EVIDENCE AND INFERENCE

- **Fact/evidence:** DFPD monthly foodgrain bulletins report dated central-pool stocks, while norms provide the minimum benchmark.
- **Analytical inference:** Comparing the two helps plan OMSS, movement, milling and procurement without undermining readiness.
- **Qualification:** Stocks committed to distribution or located poorly may not be freely disposable.

### PRELIMS TRAP

Stock above norm is not automatically waste or immediately saleable.

### MAINS USE

Use norm, actual, pipeline and release capacity as four separate lines.

### MINI RECAP

- Definition: Actual stock is the dated physical and accounting inventory, whereas excess stock is a policy judgement relative to norms and foreseeable obligations.
- Evidence anchor: DFPD monthly foodgrain bulletins report dated central-pool stocks, while norms provide the minimum benchmark.
- Limitation: Stocks committed to distribution or located poorly may not be freely disposable.

## CORE SESSION 25 - Storage, quality and smart logistics

## VISUAL FIRST

PROCUREMENT CENTRE -> SCIENTIFIC STORAGE / SILO -> QUALITY MONITORING  
-> RAIL / ROAD MOVEMENT -> ROTATION / ISSUE

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

Foodgrain storage preserves quantity and quality between procurement and release through suitable capacity, handling, monitoring and rotation.

**ANSWER-GRABBING LINE:** Storage reform is a logistics and quality system, not simply construction of more covered space.

**MUST-WRITE KEYWORDS:** storage, quality, and, smart, logistics, reform, is, a.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Storage reform is a logistics and quality system, not simply construction of more covered space.
- **Named evidence:** FCI uses owned, hired and modern silo capacity and coordinates movement across procurement and consuming regions.
- **Analysis:** Silos, digital inventory and planned movement can reduce handling losses and improve first-in-first-out rotation.
- **Qualification / demand link:** Technology does not remove location mismatch, contract design, moisture or pest-management problems.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** FCI uses owned, hired and modern silo capacity and coordinates movement across procurement and consuming regions.
- **Analytical inference:** Silos, digital inventory and planned movement can reduce handling losses and improve first-in-first-out rotation.
- **Qualification:** Technology does not remove location mismatch, contract design, moisture or pest-management problems.

## PRELIMS TRAP

Warehouse capacity without throughput planning can increase rather than reduce carrying cost.

## MAINS USE

Recommend network optimisation, quality audits and transparent capacity contracting.

## MINI RECAP

- Definition: Foodgrain storage preserves quantity and quality between procurement and release through suitable capacity, handling, monitoring and rotation.
- Evidence anchor: FCI uses owned, hired and modern silo capacity and coordinates movement across procurement and consuming regions.
- Limitation: Technology does not remove location mismatch, contract design, moisture or pest-management problems.

## CORE SESSION 26 - OMSS Domestic

## VISUAL FIRST

EXCESS / AVAILABLE CENTRAL STOCK -> GOVERNMENT POLICY  
-> FCI E-AUCTION OR SPECIFIED SALE -> MARKET SUPPLY -> PRICE EFFECT

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

Open Market Sale Scheme (Domestic) is the sale of specified central-pool foodgrains outside entitlement distribution to influence supply, prices or stock management.

**ANSWER-GRABBING LINE:** OMSS targets the market channel, whereas NFSA release fulfils household entitlement.

**MUST-WRITE KEYWORDS:** omss, domestic, targets, the, market, channel.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** OMSS targets the market channel, whereas NFSA release fulfils household entitlement.
- **Named evidence:** FCI conducts OMSS(D) sales under current Government policy through notified eligibility, quantity and reserve-price conditions.
- **Analysis:** Additional market supply can moderate prices and rotate stocks.
- **Qualification / demand link:** Auction quantities, buyers and reserve prices are variable; unpredictable intervention can discourage private storage.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** FCI conducts OMSS(D) sales under current Government policy through notified eligibility, quantity and reserve-price conditions.
- **Analytical inference:** Additional market supply can moderate prices and rotate stocks.
- **Qualification:** Auction quantities, buyers and reserve prices are variable; unpredictable intervention can discourage private storage.

## PRELIMS TRAP

OMSS grain is not the same as an NFSA allocation.

## MAINS USE

Explain the market-release channel and the need for rule transparency.

## MINI RECAP

- Definition: Open Market Sale Scheme (Domestic) is the sale of specified central-pool foodgrains outside entitlement distribution to influence supply, prices or stock management.
- Evidence anchor: FCI conducts OMSS(D) sales under current Government policy through notified eligibility, quantity and reserve-price conditions.
- Limitation: Auction quantities, buyers and reserve prices are variable; unpredictable intervention can discourage private storage.

## CORE SESSION 27 - Price Stabilisation Fund distinction



## VISUAL FIRST

OMSS: FCI wheat/rice stock sale  
PSF: buffer / intervention for selected perishables or pulses  
both seek stability, but institutions and commodities differ

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

The Price Stabilisation Fund supports market intervention and buffer operations for selected commodities under the Department of Consumer Affairs, distinct from FCI's OMSS foodgrain sales.

**ANSWER-GRABBING LINE:** Price stabilisation is an objective served by multiple instruments, not the name of one universal stock scheme.

**MUST-WRITE KEYWORDS:** price, stabilisation, fund, distinction, is, an, objective.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Price stabilisation is an objective served by multiple instruments, not the name of one universal stock scheme.
- **Named evidence:** PSF operations have supported buffers and calibrated releases for commodities such as pulses and onions, while OMSS uses central-pool foodgrains.
- **Analysis:** Different perishability, production cycles and agencies require different intervention designs.
- **Qualification / demand link:** Commodity coverage, procurement quantity and release policy are current and must be dated if quoted.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** PSF operations have supported buffers and calibrated releases for commodities such as pulses and onions, while OMSS uses central-pool foodgrains.
- **Analytical inference:** Different perishability, production cycles and agencies require different intervention designs.
- **Qualification:** Commodity coverage, procurement quantity and release policy are current and must be dated if quoted.

## PRELIMS TRAP

Do not treat PSF and FCI buffer norms as the same account.

## MAINS USE

Compare commodity, agency, stock source and release route.

## MINI RECAP

- Definition: The Price Stabilisation Fund supports market intervention and buffer operations for selected commodities under the Department of Consumer Affairs, distinct from FCI's OMSS foodgrain sales.
- Evidence anchor: PSF operations have supported buffers and calibrated releases for commodities such as pulses and onions, while OMSS uses central-pool foodgrains.
- Limitation: Commodity coverage, procurement quantity and release policy are current and must be dated if quoted.

## CORE SESSION 28 - Allocation, offtake and delivery

## VISUAL FIRST

CENTRE ALLOCATES -> STATE LIFTS / OFFTAKE -> MOVEMENT TO FPS  
-> AUTHENTICATED OR FALLBACK DELIVERY -> HOUSEHOLD RECEIPT

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

Allocation is the quantity authorised to a State or scheme, offtake is quantity lifted, and delivery is grain actually received by the beneficiary.

**ANSWER-GRABBING LINE:** Food-security performance must be measured across the full allocation-to-receipt chain.

**MUST-WRITE KEYWORDS:** allocation, offtake, and, delivery, food-security, performance, must, be, measured.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Food-security performance must be measured across the full allocation-to-receipt chain.
- **Named evidence:** DFPD and FCI reporting separately track allocation and lifting, while State systems record fair-price-shop transactions.
- **Analysis:** The distinctions identify whether failure lies in central release, State logistics, dealer delivery or authentication.
- **Qualification / demand link:** High offtake does not by itself prove correct household receipt or nutritional use.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** DFPD and FCI reporting separately track allocation and lifting, while State systems record fair-price-shop transactions.
- **Analytical inference:** The distinctions identify whether failure lies in central release, State logistics, dealer delivery or authentication.
- **Qualification:** High offtake does not by itself prove correct household receipt or nutritional use.

## PRELIMS TRAP

Allocation, offtake and consumption are not synonyms.

## MAINS USE

Use the three accounting stages in PDS evaluation.

## MINI RECAP

- Definition: Allocation is the quantity authorised to a State or scheme, offtake is quantity lifted, and delivery is grain actually received by the beneficiary.
- Evidence anchor: DFPD and FCI reporting separately track allocation and lifting, while State systems record fair-price-shop transactions.
- Limitation: High offtake does not by itself prove correct household receipt or nutritional use.

## CORE SESSION 29 - Four dimensions of food security

## VISUAL FIRST

AVAILABILITY + ACCESS + UTILISATION + STABILITY  
supply                      affordability      nutrition/health      resilience over time

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

Food security exists when people consistently have physical and economic access to sufficient, safe and nutritious food for an active life.

**ANSWER-GRABBING LINE:** Cereal stocks mainly strengthen availability and stability; access and utilisation require incomes, entitlements, diet, health, water and sanitation.

**MUST-WRITE KEYWORDS:** four, dimensions, of, food, security, cereal, stocks, mainly, strengthen, availability.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Cereal stocks mainly strengthen availability and stability; access and utilisation require incomes, entitlements, diet, health, water and sanitation.
- **Named evidence:** FAO's widely used framework separates availability, access, utilisation and stability.
- **Analysis:** The four dimensions prevent a national grain surplus from being mistaken for household nutritional security.
- **Qualification / demand link:** Measurement differs across calories, diets, anthropometry and vulnerability; no single stock figure captures all dimensions.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** FAO's widely used framework separates availability, access, utilisation and stability.
- **Analytical inference:** The four dimensions prevent a national grain surplus from being mistaken for household nutritional security.
- **Qualification:** Measurement differs across calories, diets, anthropometry and vulnerability; no single stock figure captures all dimensions.

## PRELIMS TRAP

Food security is broader than national cereal availability.

## MAINS USE

Structure Mains answers by all four dimensions.

## MINI RECAP

- Definition: Food security exists when people consistently have physical and economic access to sufficient, safe and nutritious food for an active life.
- Evidence anchor: FAO's widely used framework separates availability, access, utilisation and stability.
- Limitation: Measurement differs across calories, diets, anthropometry and vulnerability; no single stock figure captures all dimensions.

## CORE SESSION 30 - NFSA 2013 rights architecture

## VISUAL FIRST

NFSA 2013 -> LEGAL ENTITLEMENT

Centre allocation/support -> State identification/delivery

PHH / AAY -> TPDS fair-price shops

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

The National Food Security Act, 2013 converts specified food and nutrition support into statutory entitlements and accountability duties.

**ANSWER-GRABBING LINE:** NFSA is a rights framework delivered through federal administration, not merely a subsidy announcement.

**MUST-WRITE KEYWORDS:** nfsa, 2013, rights, architecture, is, a, framework.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** NFSA is a rights framework delivered through federal administration, not merely a subsidy announcement.
- **Named evidence:** The Act provides TPDS entitlements for Priority Households and Antyodaya Anna Yojana households and contains transparency, grievance and food-security-allowance provisions.
- **Analysis:** Legal entitlement allows failure to be identified against a defined quantity and responsible authority.
- **Qualification / demand link:** Cereal entitlement alone cannot eliminate hunger rooted in health, sanitation, care or income insecurity.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** The Act provides TPDS entitlements for Priority Households and Antyodaya Anna Yojana households and contains transparency, grievance and food-security-allowance provisions.
- **Analytical inference:** Legal entitlement allows failure to be identified against a defined quantity and responsible authority.
- **Qualification:** Cereal entitlement alone cannot eliminate hunger rooted in health, sanitation, care or income insecurity.

## PRELIMS TRAP

NFSA coverage and entitlement are different concepts.

## MAINS USE

Use rights, institutions and delivery limitations together.

## MINI RECAP

- Definition: The National Food Security Act, 2013 converts specified food and nutrition support into statutory entitlements and accountability duties.
- Evidence anchor: The Act provides TPDS entitlements for Priority Households and Antyodaya Anna Yojana households and contains transparency, grievance and food-security-allowance provisions.
- Limitation: Cereal entitlement alone cannot eliminate hunger rooted in health, sanitation, care or income insecurity.

## CORE SESSION 31 - NFSA coverage and identification

## VISUAL FIRST

NATIONAL CEILING: up to 75% rural + 50% urban  
STATE-WISE COVERAGE -> State identifies eligible households  
ceiling != actual beneficiary count at every date

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

NFSA permits coverage of up to 75 per cent of the rural population and 50 per cent of the urban population, with State-wise ceilings and State identification.

**ANSWER-GRABBING LINE:** The Union defines statutory ceilings and allocations, while States identify households within their coverage.

**MUST-WRITE KEYWORDS:** nfsa, coverage, and, identification, the, union, defines, statutory, ceilings.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** The Union defines statutory ceilings and allocations, while States identify households within their coverage.
- **Named evidence:** DFPD's official coverage table uses these rural and urban ceilings and an intended national coverage of about 81.35 crore persons based on the governing framework.
- **Analysis:** Targeting focuses subsidy but makes list quality and population updating central.
- **Qualification / demand link:** Ceiling, identified beneficiaries, active ration cards and monthly recipients are different measures.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** DFPD's official coverage table uses these rural and urban ceilings and an intended national coverage of about 81.35 crore persons based on the governing framework.
- **Analytical inference:** Targeting focuses subsidy but makes list quality and population updating central.
- **Qualification:** Ceiling, identified beneficiaries, active ration cards and monthly recipients are different measures.

## PRELIMS TRAP

The 75/50 figures are not a universal State-by-State actual percentage.

## MAINS USE

Always state ceiling, identification authority and data vintage.

## MINI RECAP

- Definition: NFSA permits coverage of up to 75 per cent of the rural population and 50 per cent of the urban population, with State-wise ceilings and State identification.
- Evidence anchor: DFPD's official coverage table uses these rural and urban ceilings and an intended national coverage of about 81.35 crore persons based on the governing framework.
- Limitation: Ceiling, identified beneficiaries, active ration cards and monthly recipients are different measures.

## CORE SESSION 32 - PHH, AAY and free-foodgrain status

## VISUAL FIRST

PHH: 5 KG / PERSON / MONTH

AAY: 35 KG / HOUSEHOLD / MONTH

CURRENT ISSUE PRICE: free under PMGKAY, 1 Jan 2024-Dec 2028

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

Priority Household entitlement is individual-based, while Antyodaya Anna Yojana entitlement is household-based.

**ANSWER-GRABBING LINE:** Quantity and price are separate: NFSA fixes the entitlement architecture, while the current executive arrangement supplies that quota free.

**MUST-WRITE KEYWORDS:** phh, aay, and, free-foodgrain, status, quantity, price, are, separate.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Quantity and price are separate: NFSA fixes the entitlement architecture, while the current executive arrangement supplies that quota free.
- **Named evidence:** PHH members receive 5 kilograms per person per month and AAY households 35 kilograms per household per month. The Union approved free NFSA foodgrain for about 81.35 crore beneficiaries for five years from 1 January 2024 through December 2028.
- **Analysis:** The arrangement lowers access cost and provides predictable cereal support.
- **Qualification / demand link:** The end date is policy-sensitive and must be rechecked after the 9 September 2026 cutoff.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** PHH members receive 5 kilograms per person per month and AAY households 35 kilograms per household per month. The Union approved free NFSA foodgrain for about 81.35 crore beneficiaries for five years from 1 January 2024 through December 2028.
- **Analytical inference:** The arrangement lowers access cost and provides predictable cereal support.
- **Qualification:** The end date is policy-sensitive and must be rechecked after the 9 September 2026 cutoff.

## PRELIMS TRAP

Do not give an AAY household 5 kilograms per member in place of its 35-kilogram household entitlement.

## MAINS USE

Write category, unit, quantity, current price and date separately.

## MINI RECAP

- Definition: Priority Household entitlement is individual-based, while Antyodaya Anna Yojana entitlement is household-based.
- Evidence anchor: PHH members receive 5 kilograms per person per month and AAY households 35 kilograms per household per month. The Union approved free NFSA foodgrain for about 81.35 crore beneficiaries for five years from 1 January 2024 through December 2028.
- Limitation: The end date is policy-sensitive and must be rechecked after the 9 September 2026 cutoff.

## CORE SESSION 33 - Centre-State responsibilities

## VISUAL FIRST

CENTRE: procurement / allocation / central assistance / movement framework  
STATE: identify households / ration cards / FPS / intra-State delivery / grievance

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

NFSA and TPDS divide responsibilities between Union food management and State-level identification and last-mile delivery.

**ANSWER-GRABBING LINE:** Federal accountability requires assigning each failure to the authority controlling that stage.

**MUST-WRITE KEYWORDS:** centre-state, responsibilities, federal, accountability, requires, assigning, each.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Federal accountability requires assigning each failure to the authority controlling that stage.
- **Named evidence:** The Centre procures or arranges stocks, allocates grain and provides specified assistance; States identify beneficiaries, issue ration cards, license or supervise fair-price shops and deliver within the State.
- **Analysis:** The division combines national risk pooling with local administrative knowledge.
- **Qualification / demand link:** State implementation models differ, and shared digital systems create joint dependencies.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** The Centre procures or arranges stocks, allocates grain and provides specified assistance; States identify beneficiaries, issue ration cards, license or supervise fair-price shops and deliver within the State.
- **Analytical inference:** The division combines national risk pooling with local administrative knowledge.
- **Qualification:** State implementation models differ, and shared digital systems create joint dependencies.

## PRELIMS TRAP

A beneficiary-list error should not automatically be attributed to FCI procurement.

## MAINS USE

Use a responsibility table in governance answers.

## MINI RECAP

- Definition: NFSA and TPDS divide responsibilities between Union food management and State-level identification and last-mile delivery.
- Evidence anchor: The Centre procures or arranges stocks, allocates grain and provides specified assistance; States identify beneficiaries, issue ration cards, license or supervise fair-price shops and deliver within the State.
- Limitation: State implementation models differ, and shared digital systems create joint dependencies.

## CORE SESSION 34 - TPDS delivery chain

## VISUAL FIRST

CENTRAL POOL -> STATE DEPOT -> FAIR PRICE SHOP -> BENEFICIARY  
allocation      lifting      stock register      entitlement receipt

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

The Targeted Public Distribution System delivers allocated foodgrains to identified households through State-managed fair-price-shop networks.

**ANSWER-GRABBING LINE:** TPDS effectiveness depends on stock visibility, timely movement, dealer accountability and beneficiary access.

**MUST-WRITE KEYWORDS:** tpds, delivery, chain, effectiveness, depends, on, stock.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** TPDS effectiveness depends on stock visibility, timely movement, dealer accountability and beneficiary access.
- **Named evidence:** End-to-end computerisation tracks allocation, supply-chain movement and electronic sale transactions.
- **Analysis:** Digitised flows can expose diversion and permit portability.
- **Qualification / demand link:** Connectivity, dealer viability, accessibility and local record errors can still interrupt delivery.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** End-to-end computerisation tracks allocation, supply-chain movement and electronic sale transactions.
- **Analytical inference:** Digitised flows can expose diversion and permit portability.
- **Qualification:** Connectivity, dealer viability, accessibility and local record errors can still interrupt delivery.

## PRELIMS TRAP

A digitised transaction does not by itself prove adequate nutrition.

## MAINS USE

Trace logistics and accountability at every node.

## MINI RECAP

- Definition: The Targeted Public Distribution System delivers allocated foodgrains to identified households through State-managed fair-price-shop networks.
- Evidence anchor: End-to-end computerisation tracks allocation, supply-chain movement and electronic sale transactions.
- Limitation: Connectivity, dealer viability, accessibility and local record errors can still interrupt delivery.

## CORE SESSION 35 - One Nation One Ration Card



## VISUAL FIRST

HOME RATION CARD + AADHAAR / ID MATCH

-> ePoS FPS IN ANOTHER STATE -> portable entitlement  
family may split lifting subject to system rules

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

One Nation One Ration Card enables eligible NFSA beneficiaries to access portable entitlements through interoperable State systems.

**ANSWER-GRABBING LINE:** Portability converts a residence-bound delivery network into a migrant-responsive entitlement.

**MUST-WRITE KEYWORDS:** one, nation, ration, card, portability, converts, a, residence-bound, delivery.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Portability converts a residence-bound delivery network into a migrant-responsive entitlement.
- **Named evidence:** DFPD's Year End Review 2025 reported ONORC implementation across all 36 States and Union Territories.
- **Analysis:** Inter-State portability reduces exclusion when workers move without transferring ration cards.
- **Qualification / demand link:** Awareness, ePoS connectivity, Aadhaar seeding and receiving-State stock readiness affect use.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** DFPD's Year End Review 2025 reported ONORC implementation across all 36 States and Union Territories.
- **Analytical inference:** Inter-State portability reduces exclusion when workers move without transferring ration cards.
- **Qualification:** Awareness, ePoS connectivity, Aadhaar seeding and receiving-State stock readiness affect use.

## PRELIMS TRAP

ONORC does not make NFSA universal beyond identified beneficiaries.

## MAINS USE

Use it as a portability reform with last-mile conditions.

## MINI RECAP

- Definition: One Nation One Ration Card enables eligible NFSA beneficiaries to access portable entitlements through interoperable State systems.
- Evidence anchor: DFPD's Year End Review 2025 reported ONORC implementation across all 36 States and Union Territories.
- Limitation: Awareness, ePoS connectivity, Aadhaar seeding and receiving-State stock readiness affect use.

## CORE SESSION 36 - Digitisation, ePoS and fallback

## VISUAL FIRST

DIGITISED CARD + ePoS AUTHENTICATION -> TRANSACTION TRACE  
failure? -> lawful exception / alternate authentication / grievance  
technology must not become a denial rule

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

End-to-end computerisation and electronic point-of-sale systems record and authenticate PDS transactions.

**ANSWER-GRABBING LINE:** Technology can reduce duplicate records and diversion only when genuine beneficiaries have workable fallback routes.

**MUST-WRITE KEYWORDS:** digitisation, epos, and, fallback, technology, can, reduce, duplicate, records.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Technology can reduce duplicate records and diversion only when genuine beneficiaries have workable fallback routes.
- **Named evidence:** DFPD platforms integrate digitised ration data, allocation, portability and ePoS transactions.
- **Analysis:** Audit trails improve monitoring and cross-State portability.
- **Qualification / demand link:** Biometric, network, seeding or device failure can exclude elderly, manual workers or remote households.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** DFPD platforms integrate digitised ration data, allocation, portability and ePoS transactions.
- **Analytical inference:** Audit trails improve monitoring and cross-State portability.
- **Qualification:** Biometric, network, seeding or device failure can exclude elderly, manual workers or remote households.

## PRELIMS TRAP

Authentication failure should not be equated with ineligibility.

## MAINS USE

Pair digitisation with exception handling, offline resilience and human accountability.

## MINI RECAP

- Definition: End-to-end computerisation and electronic point-of-sale systems record and authenticate PDS transactions.
- Evidence anchor: DFPD platforms integrate digitised ration data, allocation, portability and ePoS transactions.
- Limitation: Biometric, network, seeding or device failure can exclude elderly, manual workers or remote households.

## CORE SESSION 37 - Grievance, transparency and social audit

## VISUAL FIRST

DISCLOSURE + VIGILANCE + SOCIAL AUDIT

-> DGRO -> STATE FOOD COMMISSION -> REMEDY

plus food security allowance where statutory conditions apply

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

NFSA accountability uses disclosure, vigilance committees, social audits and statutory grievance authorities.

**ANSWER-GRABBING LINE:** A rights-based system needs a remedy when allocation or technology fails, not only a dashboard.

**MUST-WRITE KEYWORDS:** grievance, transparency, and, social, audit, a, rights-based, system, needs.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** A rights-based system needs a remedy when allocation or technology fails, not only a dashboard.
- **Named evidence:** The Act provides District Grievance Redressal Officers, State Food Commissions and a food-security-allowance route for non-supply under prescribed conditions.
- **Analysis:** Local disclosure and social audit can detect dealer diversion and list exclusion.
- **Qualification / demand link:** Institutional independence, accessibility and timely orders vary across States.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** The Act provides District Grievance Redressal Officers, State Food Commissions and a food-security-allowance route for non-supply under prescribed conditions.
- **Analytical inference:** Local disclosure and social audit can detect dealer diversion and list exclusion.
- **Qualification:** Institutional independence, accessibility and timely orders vary across States.

## PRELIMS TRAP

A helpline alone is not the full NFSA grievance architecture.

## MAINS USE

Recommend time-bound, accessible and appealable grievance systems.

## MINI RECAP

- Definition: NFSA accountability uses disclosure, vigilance committees, social audits and statutory grievance authorities.
- Evidence anchor: The Act provides District Grievance Redressal Officers, State Food Commissions and a food-security-allowance route for non-supply under prescribed conditions.
- Limitation: Institutional independence, accessibility and timely orders vary across States.

## CORE SESSION 38 - Leakage, exclusion and inclusion errors

## VISUAL FIRST

LEAKAGE: entitled grain diverted or short-delivered

EXCLUSION: eligible person left out / denied

INCLUSION: ineligible or duplicate record receives benefit

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

PDS targeting errors concern both wrongful denial and wrongful inclusion, while leakage concerns diversion within the delivery chain.

**ANSWER-GRABBING LINE:** Reform must minimise total welfare error rather than celebrate deletion numbers alone.

**MUST-WRITE KEYWORDS:** leakage, exclusion, and, inclusion, errors, reform, must, minimise, total, welfare.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Reform must minimise total welfare error rather than celebrate deletion numbers alone.
- **Named evidence:** Digitisation, de-duplication, stock tracking and social audit address different failure points.
- **Analysis:** Tighter lists may lower fiscal leakage but can raise hunger risk if correction mechanisms are weak.
- **Qualification / demand link:** Some inclusion can be less damaging than exclusion during shocks; context matters.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** Digitisation, de-duplication, stock tracking and social audit address different failure points.
- **Analytical inference:** Tighter lists may lower fiscal leakage but can raise hunger risk if correction mechanisms are weak.
- **Qualification:** Some inclusion can be less damaging than exclusion during shocks; context matters.

## PRELIMS TRAP

Deletion is not proof of a ghost beneficiary.

## MAINS USE

Balance integrity controls with presumption against hunger-causing denial.

## MINI RECAP

- Definition: PDS targeting errors concern both wrongful denial and wrongful inclusion, while leakage concerns diversion within the delivery chain.
- Evidence anchor: Digitisation, de-duplication, stock tracking and social audit address different failure points.
- Limitation: Some inclusion can be less damaging than exclusion during shocks; context matters.

## CORE SESSION 39 - Cash or DBT versus in-kind grain

## VISUAL FIRST

IN-KIND: price insurance + physical grain, but logistics cost

CASH: choice + lower handling, but inflation / market / banking risk

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

A PDS cash transfer replaces or supplements physical grain with money credited to an eligible beneficiary.

**ANSWER-GRABBING LINE:** Cash and kind allocate price, supply and intra-household risks differently.

**MUST-WRITE KEYWORDS:** cash, or, dbt, versus, in-kind, grain, and, kind, allocate, price.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Cash and kind allocate price, supply and intra-household risks differently.
- **Named evidence:** Pilot cash-transfer arrangements have tested lower handling and greater consumer choice.
- **Analysis:** Cash may reduce storage and diversion costs where competitive food markets and banking access work.
- **Qualification / demand link:** Inflation, remote markets, payment delay and diversion within the household can erode food access.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** Pilot cash-transfer arrangements have tested lower handling and greater consumer choice.
- **Analytical inference:** Cash may reduce storage and diversion costs where competitive food markets and banking access work.
- **Qualification:** Inflation, remote markets, payment delay and diversion within the household can erode food access.

## PRELIMS TRAP

DBT is not an automatically superior nationwide substitute for grain.

## MAINS USE

Evaluate market depth, indexation, gender control and emergency resilience.

## MINI RECAP

- Definition: A PDS cash transfer replaces or supplements physical grain with money credited to an eligible beneficiary.
- Evidence anchor: Pilot cash-transfer arrangements have tested lower handling and greater consumer choice.
- Limitation: Inflation, remote markets, payment delay and diversion within the household can erode food access.

## CORE SESSION 40 - Cereal security versus nutrition security

## VISUAL FIRST

CEREAL ENTITLEMENT -> calories / staple availability

NUTRITION SECURITY -> protein + micronutrients + dietary diversity  
+ health, water, sanitation and care

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

Nutrition security requires adequate dietary quality and biological utilisation in addition to staple-calorie access.

**ANSWER-GRABBING LINE:** PDS can anchor food access but cannot alone solve malnutrition.

**MUST-WRITE KEYWORDS:** cereal, security, versus, nutrition, pds, can, anchor, food, access.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** PDS can anchor food access but cannot alone solve malnutrition.
- **Named evidence:** NFSA also contains nutrition-related entitlements beyond TPDS, while food policy increasingly discusses pulses, millets and fortified staples.
- **Analysis:** A diversified basket can address protein and micronutrient gaps and support resilient crops.
- **Qualification / demand link:** Dietary needs, local preferences, supply chains and public-health evidence must guide additions.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** NFSA also contains nutrition-related entitlements beyond TPDS, while food policy increasingly discusses pulses, millets and fortified staples.
- **Analytical inference:** A diversified basket can address protein and micronutrient gaps and support resilient crops.
- **Qualification:** Dietary needs, local preferences, supply chains and public-health evidence must guide additions.

## PRELIMS TRAP

A full grain godown does not prove adequate nutrition.

## MAINS USE

Move from cereal availability to diet, health and stability.

## MINI RECAP

- Definition: Nutrition security requires adequate dietary quality and biological utilisation in addition to staple-calorie access.
- Evidence anchor: NFSA also contains nutrition-related entitlements beyond TPDS, while food policy increasingly discusses pulses, millets and fortified staples.
- Limitation: Dietary needs, local preferences, supply chains and public-health evidence must guide additions.

## CORE SESSION 41 - Fortified rice: dated current status

## VISUAL FIRST

MILL RICE + FORTIFIED RICE KERNELS -> blended fortified rice  
iron + folic acid + vitamin B12 under standards  
supply through welfare channels to Dec 2028

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

Rice fortification blends fortified kernels containing prescribed micronutrients with ordinary rice under food-safety standards.

**ANSWER-GRABBING LINE:** Fortification uses the scale of food programmes to address micronutrient deficiency, but it complements rather than replaces dietary diversity.

**MUST-WRITE KEYWORDS:** fortified, rice, dated, current, status, fortification, uses, the, scale, of.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Fortification uses the scale of food programmes to address micronutrient deficiency, but it complements rather than replaces dietary diversity.
- **Named evidence:** The Cabinet approved continuation of free fortified-rice supply under PMGKAY and other welfare schemes from July 2024 through December 2028.
- **Analysis:** A common distribution channel can reach large populations with standardised micronutrients.
- **Qualification / demand link:** Quality assurance, acceptability, medical evidence and monitoring remain necessary.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** The Cabinet approved continuation of free fortified-rice supply under PMGKAY and other welfare schemes from July 2024 through December 2028.
- **Analytical inference:** A common distribution channel can reach large populations with standardised micronutrients.
- **Qualification:** Quality assurance, acceptability, medical evidence and monitoring remain necessary.

## PRELIMS TRAP

Fortified rice is not a substitute for protein, vegetables, sanitation or clinical care.

## MAINS USE

Use the exact July 2024-December 2028 status and the nutrition qualification.

## MINI RECAP

- Definition: Rice fortification blends fortified kernels containing prescribed micronutrients with ordinary rice under food-safety standards.
- Evidence anchor: The Cabinet approved continuation of free fortified-rice supply under PMGKAY and other welfare schemes from July 2024 through December 2028.
- Limitation: Quality assurance, acceptability, medical evidence and monitoring remain necessary.

## CORE SESSION 42 - Diversification and ecological incentives

## VISUAL FIRST

DEEP PADDY/WHEAT PROCUREMENT -> relative-return signal  
-> cereal concentration / groundwater pressure  
DIVERSIFIED PURCHASE + VALUE CHAINS -> pulses, oilseeds, millets

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

Food-policy incentives influence cropping patterns through expected prices, procurement probability and market infrastructure.

**ANSWER-GRABBING LINE:** Diversified food security requires aligning farm incentives with nutrition and agro-ecological suitability.

**MUST-WRITE KEYWORDS:** diversification, and, ecological, incentives, diversified, food, security, requires, aligning.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Diversified food security requires aligning farm incentives with nutrition and agro-ecological suitability.
- **Named evidence:** Paddy-wheat procurement depth and public distribution created reliable cereal channels, while pulses, oilseeds and millets often face thinner purchase, processing and demand systems.
- **Analysis:** Broader, region-specific procurement and consumption can reduce import or nutrition risk and support dryland crops.
- **Qualification / demand link:** Expanding purchase without storage, processing and demand can merely create new excess stocks.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** Paddy-wheat procurement depth and public distribution created reliable cereal channels, while pulses, oilseeds and millets often face thinner purchase, processing and demand systems.
- **Analytical inference:** Broader, region-specific procurement and consumption can reduce import or nutrition risk and support dryland crops.
- **Qualification:** Expanding purchase without storage, processing and demand can merely create new excess stocks.

## PRELIMS TRAP

Announcing MSP for diverse crops is not enough to diversify cultivation.

## MAINS USE

Link procurement reform to water budgets and nutrition-sensitive demand.

## MINI RECAP

- Definition: Food-policy incentives influence cropping patterns through expected prices, procurement probability and market infrastructure.
- Evidence anchor: Paddy-wheat procurement depth and public distribution created reliable cereal channels, while pulses, oilseeds and millets often face thinner purchase, processing and demand systems.
- Limitation: Expanding purchase without storage, processing and demand can merely create new excess stocks.

## CORE SESSION 43 - Rice-price determinants



## VISUAL FIRST

PRODUCTION / MONSOON + PROCUREMENT + PUBLIC STOCKS + EXPORT POLICY  
+ INPUT / TRANSPORT COSTS + MARKET EXPECTATIONS -> RICE PRICE

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

Rice prices reflect current and expected supply, public operations, trade policy and costs rather than one administered price alone.

**ANSWER-GRABBING LINE:** Price analysis should trace supply, stocks and policy transmission before attributing inflation to MSP.

**MUST-WRITE KEYWORDS:** rice-price, determinants, price, analysis, should, trace, supply.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Price analysis should trace supply, stocks and policy transmission before attributing inflation to MSP.
- **Named evidence:** The routed 2020 Prelims demand identifies production, monsoon conditions, stocks, procurement, exports and costs as relevant channels.
- **Analysis:** Procurement can support farm prices, while OMSS or trade decisions can alter market availability.
- **Qualification / demand link:** The weight of each factor changes by season and variety, so no undated causal share is defensible.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** The routed 2020 Prelims demand identifies production, monsoon conditions, stocks, procurement, exports and costs as relevant channels.
- **Analytical inference:** Procurement can support farm prices, while OMSS or trade decisions can alter market availability.
- **Qualification:** The weight of each factor changes by season and variety, so no undated causal share is defensible.

## PRELIMS TRAP

MSP increase is not the sole determinant of retail rice inflation.

## MAINS USE

Use the multi-factor chain in price questions.

## MINI RECAP

- Definition: Rice prices reflect current and expected supply, public operations, trade policy and costs rather than one administered price alone.
- Evidence anchor: The routed 2020 Prelims demand identifies production, monsoon conditions, stocks, procurement, exports and costs as relevant channels.
- Limitation: The weight of each factor changes by season and variety, so no undated causal share is defensible.

## CORE SESSION 44 - WTO Agreement on Agriculture: support accounting

## VISUAL FIRST

MARKET PRICE SUPPORT AMS

= (administered price - 1986-88 external reference price)  
x eligible production

DEVELOPING-COUNTRY product de minimis: 10% of value of production

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

The WTO Agreement on Agriculture disciplines trade-distorting domestic support through Aggregate Measurement of Support rules and de minimis thresholds.

**ANSWER-GRABBING LINE:** WTO accounting is not the same as India's budgetary subsidy or FCI economic cost.

**MUST-WRITE KEYWORDS:** wto, agreement, on, agriculture, support, accounting, is, not, the.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** WTO accounting is not the same as India's budgetary subsidy or FCI economic cost.
- **Named evidence:** The WTO fact sheet explains market price support using the administered price minus fixed 1986-88 external reference price multiplied by eligible production; developing-country product-specific de minimis is 10 per cent of production value.
- **Analysis:** The fixed historical reference price can enlarge measured support under later inflation.
- **Qualification / demand link:** Product coverage, eligible production, notifications and permitted categories require legal precision.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** The WTO fact sheet explains market price support using the administered price minus fixed 1986-88 external reference price multiplied by eligible production; developing-country product-specific de minimis is 10 per cent of production value.
- **Analytical inference:** The fixed historical reference price can enlarge measured support under later inflation.
- **Qualification:** Product coverage, eligible production, notifications and permitted categories require legal precision.

## PRELIMS TRAP

Do not calculate WTO support as MSP minus current market price.

## MAINS USE

Keep this a bounded cross-link; Topic 28 owns the full subsidy-box architecture.

## MINI RECAP

- Definition: The WTO Agreement on Agriculture disciplines trade-distorting domestic support through Aggregate Measurement of Support rules and de minimis thresholds.
- Evidence anchor: The WTO fact sheet explains market price support using the administered price minus fixed 1986-88 external reference price multiplied by eligible production; developing-country product-specific de minimis is 10 per cent of production value.
- Limitation: Product coverage, eligible production, notifications and permitted categories require legal precision.

## CORE SESSION 45 - Public stockholding peace clause

## VISUAL FIRST

BALI 2013 INTERIM DECISION + NOV 2014 CLARIFICATION

-> protection from legal challenge for covered programmes  
conditions: notification, transparency, safeguards, no trade harm

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

The public-stockholding peace clause is an interim WTO protection for qualifying developing-country food-security programmes that may breach domestic-support limits.

**ANSWER-GRABBING LINE:** The clause protects against specified challenge; it does not reclassify all administered-price procurement as unrestricted Green Box support.

**MUST-WRITE KEYWORDS:** public, stockholding, peace, clause, the, protects, against, specified.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** The clause protects against specified challenge; it does not reclassify all administered-price procurement as unrestricted Green Box support.
- **Named evidence:** WTO's official fact sheet records the 2013 Bali decision and 27 November 2014 General Council clarification pending a permanent solution.
- **Analysis:** The mechanism preserves food-security policy space while requiring information, programme transparency and safeguards against trade distortion or harm to others' food security.
- **Qualification / demand link:** Coverage conditions and current negotiation status must be checked in the latest WTO text.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** WTO's official fact sheet records the 2013 Bali decision and 27 November 2014 General Council clarification pending a permanent solution.
- **Analytical inference:** The mechanism preserves food-security policy space while requiring information, programme transparency and safeguards against trade distortion or harm to others' food security.
- **Qualification:** Coverage conditions and current negotiation status must be checked in the latest WTO text.

## PRELIMS TRAP

Peace clause does not mean WTO rules are irrelevant to procurement.

## MAINS USE

State the interim character and conditions, then return detailed analysis to Topic 28.

## MINI RECAP

- Definition: The public-stockholding peace clause is an interim WTO protection for qualifying developing-country food-security programmes that may breach domestic-support limits.
- Evidence anchor: WTO's official fact sheet records the 2013 Bali decision and 27 November 2014 General Council clarification pending a permanent solution.
- Limitation: Coverage conditions and current negotiation status must be checked in the latest WTO text.

## CORE SESSION 46 - Shanta Kumar Committee and FCI reform

## VISUAL FIRST

PROCUREMENT RATIONALISATION + DCP + STORAGE MODERNISATION  
+ PDS TARGETING / CASH DEBATE -> efficiency proposals  
committee recommendation != enacted rule

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

The High Level Committee on Reorienting the Role and Restructuring of FCI, chaired by Shanta Kumar, is a named reform source on procurement, storage and PDS efficiency.

**ANSWER-GRABBING LINE:** Committee recommendations organise reform debate but do not themselves change legal entitlement.

**MUST-WRITE KEYWORDS:** shanta, kumar, committee, and, fci, reform, recommendations, organise, debate.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** Committee recommendations organise reform debate but do not themselves change legal entitlement.
- **Named evidence:** The 2015 report addressed procurement concentration, FCI operations, storage, movement and targeting or transfer options.
- **Analysis:** Its proposals highlight fiscal and logistical costs and the role of States and private capacity.
- **Qualification / demand link:** Recommendations remain contested where efficiency changes risk exclusion or weaken price support.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** The 2015 report addressed procurement concentration, FCI operations, storage, movement and targeting or transfer options.
- **Analytical inference:** Its proposals highlight fiscal and logistical costs and the role of States and private capacity.
- **Qualification:** Recommendations remain contested where efficiency changes risk exclusion or weaken price support.

## PRELIMS TRAP

Do not present committee proposals as current NFSA law.

## MAINS USE

Use the committee as evidence, then independently assess welfare trade-offs.

## MINI RECAP

- **Definition:** The High Level Committee on Reorienting the Role and Restructuring of FCI, chaired by Shanta Kumar, is a named reform source on procurement, storage and PDS efficiency.
- **Evidence anchor:** The 2015 report addressed procurement concentration, FCI operations, storage, movement and targeting or transfer options.
- **Limitation:** Recommendations remain contested where efficiency changes risk exclusion or weaken price support.

## CORE SESSION 47 - Integrated reform architecture and syllabus boundary

## VISUAL FIRST

SMART MSP + DECENTRALISED PROCUREMENT + DYNAMIC STOCKS  
+ MODERN STORAGE + PORTABLE RIGHTS + NUTRITION-SENSITIVE PDS  
APMC / e-NAM / FPOs -> Topic 13

*Visual reading:* Fix the institutional or accounting sequence before drawing the conclusion.

## DEFINITION

Integrated food-management reform aligns farm incentives, procurement geography, stock norms, release rules and household nutrition.

**ANSWER-GRABBING LINE:** The objective is reliable farm support and food access at the lowest avoidable fiscal, ecological and exclusion cost.

**MUST-WRITE KEYWORDS:** integrated, reform, architecture, and, syllabus, boundary, the, objective, is, reliable, farm.

## HOW TO WRITE THE ANSWER PARAGRAPH

- **Claim:** The objective is reliable farm support and food access at the lowest avoidable fiscal, ecological and exclusion cost.
- **Named evidence:** DCP, scientific storage, transparent OMSS, ONORC, grievance systems and diversified food baskets provide complementary reform routes.
- **Analysis:** Coordination reduces cereal excess while strengthening shock response and migrant access.
- **Qualification / demand link:** No reform should erase NFSA entitlements or assume digital success without fallback.

## EVIDENCE AND INFERENCE

- **Fact/evidence:** DCP, scientific storage, transparent OMSS, ONORC, grievance systems and diversified food baskets provide complementary reform routes.
- **Analytical inference:** Coordination reduces cereal excess while strengthening shock response and migrant access.
- **Qualification:** No reform should erase NFSA entitlements or assume digital success without fallback.

## PRELIMS TRAP

APMC regulation, e-NAM trading and FPO supply-chain organisation belong to Topic 13.

## MAINS USE

Conclude with dynamic stocks, regional diversification and rights-safe delivery.

## MINI RECAP

- Definition: Integrated food-management reform aligns farm incentives, procurement geography, stock norms, release rules and household nutrition.
- Evidence anchor: DCP, scientific storage, transparent OMSS, ONORC, grievance systems and diversified food baskets provide complementary reform routes.
- Limitation: No reform should erase NFSA entitlements or assume digital success without fallback.

Practice is maintained in the standalone workbook.

## BASIC MCQS / REMEDIATION

## PYQS AND ANSWER PRACTICE

PYQ routes and solutions are maintained in the standalone workbook.

## OPTIONAL ADVANCED DEPTH - NOT REQUIRED FOR A CORE ANSWER

### ADVANCED 1 - Cobweb and expectations

CORE RULE -> DEEPER MODEL -> EMPIRICAL LIMIT -> QUALIFIED POLICY USE

MSP can influence acreage before sowing, but adaptive expectations, weather and delayed supply response may produce cycles. Credibility depends on procurement probability, not announcement alone.

**Advanced answer line:** MSP can influence acreage before sowing, but adaptive expectations, weather and delayed supply response may produce cycles.

### ADVANCED 2 - Optimal buffer under uncertainty

CORE RULE -> DEEPER MODEL -> EMPIRICAL LIMIT -> QUALIFIED POLICY USE

The optimal stock balances shortage loss, price volatility and emergency value against interest, storage, deterioration and market-crowding costs. It is a risk-management problem, not a maximum-stock rule.

**Advanced answer line:** The optimal stock balances shortage loss, price volatility and emergency value against interest, storage, deterioration and market-crowding costs.

### ADVANCED 3 - Incidence of food subsidy

CORE RULE -> DEEPER MODEL -> EMPIRICAL LIMIT -> QUALIFIED POLICY USE

Subsidy incidence differs across farmers, procurement States, consumers, intermediaries and taxpayers. Accounting cost does not identify who ultimately benefits or bears opportunity cost.

**Advanced answer line:** Subsidy incidence differs across farmers, procurement States, consumers, intermediaries and taxpayers.

### ADVANCED 4 - Targeting under measurement error

CORE RULE -> DEEPER MODEL -> EMPIRICAL LIMIT -> QUALIFIED POLICY USE

Narrow targeting lowers fiscal cost only if income and household data are accurate. When verification is noisy, exclusion of a poor household may carry a larger welfare loss than limited inclusion leakage.

**Advanced answer line:** Narrow targeting lowers fiscal cost only if income and household data are accurate.

### ADVANCED 5 - Cash-indexation design

CORE RULE -> DEEPER MODEL -> EMPIRICAL LIMIT -> QUALIFIED POLICY USE

A food cash transfer needs a credible price index, frequent adjustment and access to competitive local markets. Otherwise inflation and remoteness transfer food-price risk from the State to households.

**Advanced answer line:** A food cash transfer needs a credible price index, frequent adjustment and access to competitive local markets.

## ADVANCED 6 - Stockholding and private expectations

CORE RULE -> DEEPER MODEL -> EMPIRICAL LIMIT -> QUALIFIED POLICY USE

Opaque public procurement or release can crowd private storage and increase policy uncertainty. Transparent calendars and triggers can reduce strategic withholding without sacrificing emergency discretion.

**Advanced answer line:** Opaque public procurement or release can crowd private storage and increase policy uncertainty.

## CONSOLIDATED REGISTER NOTES

### 1. MSP and institutions

- MSP is a pre-season administered price for specified crops; it is not universal procurement or income.
- CACP recommends; CCEA takes the Union decision; designated agencies procure.
- MSP covers 22 mandated crops, with derived toria and de-husked-coconut prices; sugarcane uses FRP.
- Current seasonal anchors: RMS 2026-27 approved 1 October 2025; KMS 2026-27 approved 13 May 2026.

### 2. Cost concepts and formula

- $A2$  = paid-out cultivation costs.
- $A2+FL$  =  $A2$  plus imputed unpaid family labour.
- $C2$  =  $A2+FL$  plus imputed rent on owned land and interest on owned fixed capital.
- Official policy benchmark = at least 1.5 times all-India weighted average  $A2+FL$ .
- $C2$ -plus-50 is a separate demand; averages do not guarantee each farm's margin.

### 3. Procurement and central pool

- Procurement requires crop, FAQ, season, place, agency and actual purchase.
- Open-ended paddy-wheat procurement remains bounded by operating area, period and quality.
- PSS operations for pulses/oilseeds are conditional and not universally unlimited.
- DCP lets participating States procure, store and distribute NFSA requirements with central adjustment and reimbursement.
- FCI bridges procurement, storage, movement, buffer management, NFSA and OMSS.

### 4. Cost and stock accounting

- Acquisition cost = MSP plus procurement incidentals.
- Economic cost = acquisition cost plus distribution cost.
- Carrying cost grows with stock quantity, duration, financing, storage, handling and preservation.
- Norm  $\neq$  actual stock  $\neq$  allocation  $\neq$  offtake  $\neq$  household receipt.
- Quarterly total norms: 21.04 MMT on 1 April; 41.12 on 1 July; 30.77 on 1 October; 21.41 on 1 January.

### 5. Release instruments

- NFSA release fulfils household entitlement; OMSS sells into market channels.
- Price Stabilisation Fund is a separate commodity-intervention route.
- Excess-stock judgement must consider pipeline obligations, location, quality and shock risk.

## 6. NFSA and TPDS

- Coverage ceiling: up to 75% rural and 50% urban; States identify households within ceilings.
- PHH: 5 kg per person per month. AAY: 35 kg per household per month.
- Free NFSA foodgrain: 1 January 2024-December 2028 under the approved PMGKAY arrangement.
- Union handles national procurement/allocation support; States handle identification, ration cards, FPS and intra-State delivery.
- ONORC enables portability, not universal eligibility.
- NFSA accountability includes disclosure, social audit, vigilance, DGROs, State Food Commissions and food-security allowance.

## 7. Nutrition and reform

- Food security = availability + access + utilisation + stability.
- Cereal security does not equal nutrition security.
- Fortified rice continuation: July 2024-December 2028; still requires quality monitoring and dietary diversity.
- Reform mix: decentralised procurement, smart storage, dynamic stocks, transparent OMSS, authentication fallback and nutrition-sensitive PDS.

## 8. WTO and boundaries

- WTO market price support uses administered price minus 1986-88 external reference price times eligible production.
- Developing-country product-specific de minimis is 10% of production value.
- Bali peace clause is conditional and interim; detailed subsidy architecture belongs to Topic 28.
- APMC, e-NAM, FPOs and general supply-chain regulation belong to Topic 13.

## 9. Mains architecture

CACP EVIDENCE -> CCEA PRICE -> ELIGIBLE PROCUREMENT  
-> CENTRAL POOL -> DYNAMIC STORAGE / OMSS / NFSA  
-> FARM INCOME, CONSUMER ACCESS, NUTRITION, FISCAL AND ECOLOGICAL EFFECTS

**Final answer line:** India needs a rights-safe food system in which transparent price policy, diversified procurement, dynamic stocks and portable nutrition-sensitive delivery reinforce rather than undermine one another.